

Japan Daily Brief

Thursday, September 17, 2026

1,821 words · 7 min read

RE: Takaichi cabinet reshuffle · BOJ rate hike expected · Fed hike jolts yen · \$550B chip factory talks · Global Hawk crash

NIKKEI 225

64,136.25

▲ +0.20%

USD/JPY

155.64

▲ +0.75%

BRENT

\$99.41

▼ -5.93%

BOJ RATE

1.25%

• TODAY AT A GLANCE

- 1 Takaichi completed her first cabinet reshuffle, retaining Finance Minister Satsuki Katayama, Defense Minister Shinjiro Koizumi, and METI Minister Ryosei Akazawa while bringing in a Japan Innovation Party member — the party's first cabinet post.
- 2 The BOJ is set to raise its policy rate to a 31-year high, with multiple sources confirming an imminent hike at this week's meeting following the Fed's rate increase that sent the yen past 156 per dollar.
- 3 Japan and the US are in talks to include semiconductor factory construction on US soil as part of the \$550 billion bilateral investment framework, per Nikkei Asia and Reuters.

• TOP STORIES

POLITICS-DIET

Takaichi completes first cabinet reshuffle, adds Japan Innovation Party member

Prime Minister **Sanae Takaichi** retained Finance Minister **Satsuki Katayama**, Defense Minister **Shinjiro Koizumi**, and METI Minister **Ryosei Akazawa** in her first cabinet reshuffle, signaling policy continuity amid bond-market pressure and ongoing US tariff negotiations. The reshuffle brought in a member of the Japan Innovation Party for the first time, reflecting that party's growing parliamentary importance ahead of the fall Diet session.

per The Japan Times: "Ahead of challenges, Takaichi maintains key ministers in Cabinet reshuffle"

THE JAPAN TIMES

ECONOMY-BOJ

BOJ set to raise policy rate to 31-year high as Fed hike widens rate gap

The Bank of Japan is poised to raise its policy rate — currently at 1.25% — to the highest level in 31 years, with multiple outlets reporting the move is widely expected at this week's meeting as domestic inflation risks grow and the Federal Reserve's rate increase widened the US-Japan rate differential. The yen weakened past 156 per dollar following the Fed decision before partially recovering as the BOJ meeting got underway.

REUTERS

TECHNOLOGY

Japan and US in talks to build chip factory in America under \$550B investment framework

Japan and the United States are discussing the construction of a semiconductor factory on US soil as part of the bilateral \$550 billion strategic investment framework, with Nikkei Asia and Reuters both reporting on the proposal emerging from ongoing tariff-deal negotiations. The discussions would channel a portion of the investment commitment into tangible semiconductor manufacturing capacity on American territory.

per Nikkei Asia: "Japan, US in talks to build chip factory as part of tariff deal"

NIKKEI ASIA

• OVERNIGHT

ECONOMY-BOJ Food tax cut leaves Japan searching for \$63 billion in funding · Japan Forward

Japan's planned food consumption tax cut requires identifying approximately \$63 billion in alternative revenue or spending cuts, with rising defense and social spending leaving limited fiscal room. Finance Minister Satsuki Katayama and the Takaichi administration face competing demands at the year-end budget cycle.

ECONOMY-BOJ Japan banks see risk of rising bond yields leading to losses · Bloomberg Japan

Japanese banks are flagging rising JGB yield risk as a potential source of losses on their bond portfolios, with the 10-year yield at 1.50% and a BOJ rate hike expected this week adding upward pressure. The concern echoes the vulnerability that emerged during previous yield-control policy adjustments.

ECONOMY-BOJ Tokyo condo prices fall 5.4% in August — first drop in five months · Mainichi

The average price of a new condominium in Tokyo and its three surrounding prefectures fell 5.4% year-on-year to ¥97.70 million in August, the first monthly decline in five months, per Kyodo data reported by Mainichi.

TECHNOLOGY Japan's Resonac and Nitto Denko invest in US AI hardware fund · Nikkei Asia

Japanese materials firms Resonac and Nitto Denko are investing in a US-based fund targeting artificial intelligence hardware, extending Japan's financial footprint into the US AI supply chain and deepening materials-sector links with American technology development.

• STAT OF THE DAY

9.6%

Drop in foreign visitors to Japan in August (to 3.10 million)

Foreign visitors to Japan fell 9.6% year-on-year to 3.10 million in August, the first monthly decline in recent months, per Kyodo News.

Foreign visitors to Japan in August fall 9.6% to 3.10 million — Japan Wire by Kyodo News

• JAPANESE GOVERNMENT

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Sanae Takaichi presided over her first cabinet reshuffle, retaining core ministers and incorporating a Japan Innovation Party member for the first time.

防衛省 · MINISTRY OF DEFENSE

MOD deploys SDF personnel and helicopters to Indonesia for emergency wildfire assistance

The Ministry of Defense confirmed dispatch of SDF personnel and helicopters to West Kalimantan, Indonesia, in response to that country's worst wildfires in 11 years; operations have been hampered by heavy smog conditions.

→ [thejakartapost.com](#) ↗

財務省 / 日本銀行 · MINISTRY OF FINANCE / BANK OF JAPAN

Japan vows to maintain orderly yen moves as currency weakens past 156 per dollar

Japanese government officials vowed efforts to ensure orderly currency moves after the yen fell past 156 per dollar following the Fed rate hike, per Reuters. The BOJ monetary policy meeting is underway with a rate hike to a 31-year high widely anticipated.

→ [Reuters](#) ↗

原子力規制委員会 · NUCLEAR REGULATION AUTHORITY

NRA expands investigation into Hamaoka nuclear plant data irregularities

Japan's Nuclear Regulation Authority announced it is broadening the scope of its investigation into data falsification at the Hamaoka nuclear plant, with a decision on regulatory penalties expected by year-end.

→ [Asahi](#) ↗

PERSONNEL CHANGES

Yoshimasa Hayashi **DISMISSED**

Cabinet member (excluded)

Yoshimasa Hayashi, previously Internal Affairs and Communications Minister per the reference baseline, was excluded from both cabinet and senior LDP executive roles in the reshuffle, per Asahi and Korean media reporting.

DIET SESSIONS / LDP

LDP

Takaichi retains most senior LDP executive positions in concurrent party reshuffle

Alongside the cabinet reshuffle, Prime Minister Takaichi carried out a party executive reshuffle that preserved most senior LDP positions, signaling continuity ahead of the fall Diet session. Internal reporting from Asahi noted that Yoshimasa Hayashi — often cited as a potential successor — was kept outside both cabinet and senior party roles.

OPPOSITION PARTIES

CDP-aligned lawmakers form new party 'Minshu Kaikaku no Kai' (Democratic Reform Society)

Centrist lawmakers who had left the Constitutional Democratic Party formed a new party abbreviated as 'Minshu' (Democratic Reform Society), per Asahi Shimbun, further fragmenting the opposition landscape ahead of potential Diet maneuvers.

POLLSTER	APPROVE	DISAPPROVE
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%

Discourse: Approval ratings vary significantly by pollster (41%-61%), with fiscal concerns over the food tax cut's \$63 billion funding gap and the inclusion of scandal-linked lawmakers in cabinet cited as factors constraining support; the opposition is further fragmented by the formation of a new CDP-splinter party today.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

FINANCE · NIKKEI ASIA · SOFTBANK

SoftBank's record \$6.4bn bond sale tests Japan's domestic debt market

SoftBank completed a record \$6.4 *billion* bond sale, pushing the limits of Japan's domestic debt market capacity amid rising yields and a BOJ rate decision expected this week.

FINANCE · BLOOMBERG · BERKSHIRE HATHAWAY, ITOCHU

Berkshire may boost Japan trading house stakes, Itochu says

Itochu indicated Berkshire Hathaway may increase its holdings in Japan's major trading houses, continuing Warren Buffett's strategy of deepening investment in Japan's sogo shosha sector.

FINANCE · REUTERS · STARBUCKS

Starbucks considers selling majority stake in Japan business

Starbucks is in discussions about selling a majority stake in its Japan operations, per Reuters sources, in a potential major transaction for one of the largest foreign-brand presences in the Japanese market.

FINANCE · THE JAPAN TIMES · NOMURA

Nomura warns trading revenue growth slowing as boom cools

Nomura, Japan's largest brokerage, said wholesale division revenue was "progressing slightly above year-on-year" as of September 14, signaling a deceleration from the elevated trading volumes of recent quarters.

REGIONAL PRESSURE WATCH

Normal — 26 items

CHINA

A cross-party Japanese parliamentary delegation met a senior Chinese official in Beijing, per NHK, as the most recent diplomatic outreach channel between the two governments; Tokyo Game Show data showing a sharp drop

in Chinese exhibitors illustrates the commercial-sector spillover from bilateral tensions that have included visa-fee hikes and anti-dumping levies.

NORTH KOREA

North Korea's September 12 joint firepower strike drill targeting an island in the Sea of Japan — combining ballistic missiles, long-range artillery, and attack drones — continues to be analyzed in regional defense media, with no new launch activity reported today; North Korea's sports minister separately arrived in Japan for the Asian Games under a sanctions exception.

RUSSIA

Russia's foreign ministry, via Xinhua, stated that Japan's remilitarization threatens Russian national security — the latest in a series of official Russian statements escalating rhetoric toward Japan's defense buildup. Russian companies are separately in talks with Japan and South Korea on resuming direct flights, per TASS.

Bottom line: No new kinetic activity toward Japan today; the BOJ rate decision and cabinet reshuffle dominate the domestic agenda, while Russia's remilitarization rhetoric and the North Korean sports minister's arrival under sanctions exception are the day's adversary-vector signals to track.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

North Korea sports minister arrives in Japan for Asian Games

North Korea's sports minister arrived in Japan to participate in the Asian Games, an exception to Japan's unilateral sanctions regime and a rare instance of North Korean officials entering Japan.

KOREA-JAPAN · YONHAP

South Korea files official complaint over Japanese warlord reference in Asian Games ceremony

South Korea filed an official complaint with Asian Games organizers after a ceremony highlighted a Japanese historical warlord figure, adding a diplomatic friction point to the host-nation event.

• SOCIAL STATEMENTS



Nikkei (company statement)

Nikkei Inc., responding to advertiser overcharging scandal · Japan Times · Sep 17, 2026

"We are taking the case seriously as it undermines the trust of our advertisers and readers"

Analyst: Nikkei Inc. issued this statement after Japan Times reported that Nikkei employees had overcharged advertisers tens of millions of yen.

Source →

• THE WIRE

DEFENSE

THE ECONOMIST

Economist: southwestern island elections boost Japan's defense buildup

Conservative electoral results in Japan's southwestern islands strengthen political support for the ongoing defense buildup in the Nansei island chain, per The Economist.

XINHUA

Russia says Japan's remilitarization threatens its national security

Russia's foreign ministry stated that Japan's defense buildup threatens Russian national security, per Xinhua — a reaction source statement reflecting Moscow's official position.

CHINA-JAPAN

NIKKEI ASIA

Tokyo Game Show records sharp drop in Chinese exhibitors amid bilateral tensions

The number of Chinese exhibitors at Tokyo Game Show fell sharply as Japan-China relations worsen, reflecting the spillover of bilateral tensions into the commercial technology and entertainment sector.

• UPCOMING

Sep
17

BOJ monetary policy meeting decision expected

The Bank of Japan's policy board meeting is underway; a rate hike to the highest level in 31 years is widely anticipated by multiple news sources reporting today.

Sep
21

Japan Silver Week five-day holiday begins

Japan enters a rare five-day Silver Week holiday — an alignment that has not occurred in 11 years per Japan Times — with Tropical Storm Dujuan potentially approaching, raising weather disruption risks.

Sep
22

PM Takaichi to address UN General Assembly

Prime Minister Takaichi is confirmed to address the UN General Assembly on September 22, per prior reporting, providing a platform for Japan's diplomatic messaging on defense, Ukraine, and regional security.

Oct
11

Japan Times School Fair Taipei — first Japan school fair held outside Japan

The Japan Times holds its first overseas school fair in Taipei, Taiwan, showcasing Japan-based boarding and international schools; registration is open.

Dec
1

Japan EV subsidy application window closes approximately in December

Japan's EV subsidy program application deadline is expected to close around December, per Asahi Shimbun reporting, with the government separately considering whether to extend the program given strong sales results.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:05 AM ET

[↑ BACK TO TOP](#)